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Intergenerational Infrastructure

Infrastructure is what makes a country work. Roads, water pipes, hospitals, schools: the fabric of daily life. New Zealand has most of the infrastructure it needs, thanks to previous generations. But much of it is falling apart, and we are spending over $20 billion a year, roughly 5% of GDP, with not nearly enough to show for it.

The problem is not money alone. It is politics. Successive governments have launched vanity projects to win elections and cancelled predecessors' commitments to score points. Assets have been passed on to future generations in worsening condition. The bills are landing now — and they are enormous.

In February 2026, New Zealand's Infrastructure Commission (Te Waihanga) published the country's first 30-year National Infrastructure Plan. The Government has accepted all 16 of its recommendations - in full or in principle - with cross-party support from Labour and the Greens. This is the kind of mature, long-term thinking New Zealand needs.

Opportunity is committed to securing implementation (not mere on-paper acceptance) of all 16 recommendations from the National Infrastructure Plan. We will hard-wire this plan into law, back it with real money, and give the institutions that manage our infrastructure the resources and powers they need to actually deliver without political interference.

1. Lock In the Plan — Free from Political Interference

New Zealand's infrastructure has been chronically mismanaged through short-term political cycles. Te Waihanga has documented shockingly inadequate project preparation leading to cost overruns and scope creep. Lobby groups have routinely outweighed citizens' voices. Governments arrive and discard their predecessors' decisions.

The Government's response to the National Infrastructure Plan accepted Te Waihanga's recommendation for a system-wide approach. But acceptance is not implementation. Opportunity will go further:

- Elevate Te Waihanga as the coordinating core of a National Infrastructure Agency — with a mandate that extends from planning to coordination of funding and delivery across the entire public sector.

- Lock up the seesaw. All major projects over a certain threshold will be subject to formal review by an enhanced Te Waihanga. For certain major projects, an enabling Bill — with a full select committee process — will be required before it can proceed.
- Legislate the 30-year Plan. Te Waihanga's National Infrastructure Plan and Pipeline will be given a legislative basis, agreed across party lines, so that no single government can dismantle it between elections. The Government committed to legislating long-term investment and asset management plans. Opportunity will ensure this legislation is substantive, not symbolic, and that reviews are limited to a three-yearly cycle that falls in the middle of Parliamentary terms - to avoid cancellation of projects at the start of each new government.
- Mandate independent project readiness assessments. All major government-funded investment proposals will be subject to an independent readiness review by Te Waihanga before approval. The Government accepted this recommendation — Opportunity will enforce it with teeth: Treasury capital allocations will be conditional on passing that review.
- Publish a public progress scorecard. Opportunity will commit any government it is part of to publish a 100-day, 12-month, and 3-year progress report against the 30-year pipeline — so citizens can hold governments to account. This reinforces the "insulated from politics" design with a visible external check.

2. Use and Maintain What We Have Before Building New

Te Waihanga has been clear: the first decade of reform must focus on looking after the assets New Zealand already has. The Government accepted this direction. Opportunity agrees, and will make it binding.

In 2025, 12 of 31 central government agencies; including Police, Defence and several Ministries failed to meet the basic requirement of having an asset register. This is not a minor administrative failure: it means New Zealand is running its infrastructure blind and it must stop.



Opportunity will:

- Mandate funding for maintenance. The National Infrastructure Plan proposes that 60% of total future infrastructure spend be directed to maintenance. We will mandate and fund adequate maintenance across all infrastructure portfolios. Te Waihanga will set and enforce the standards against which all entities — central and local — measure their performance (such as the Āpōpō Guide, NAMS or ISO55000).
- Require asset registers and lifecycle plans. Te Waihanga's recommendation to legislate requirements for capital-intensive agencies to publish long-term investment and asset management plans is supported by the Government. Opportunity will ensure this legislation passes and is fully implemented, and that common data standards are established and used.
- Upfront Governance over Compliance: Instead of waiting for a council or government agency to fail, we will mandate that every infrastructure asset-owning public entity designate an executive who is legally and professionally accountable for asset stewardship. If asset management does not have a direct seat at the executive table, maintenance will continue to be deferred for political wins.
- Enforce compliance with Backstop Powers. Where poor planning or inadequate maintenance is uncovered, Te Waihanga will have power to: request the Audit Office instigate a formal review; issue a public reprimand to the Chief Executive and Mayor or Chair; and in extreme cases, send in experts directly to examine assets and provide hands-on assistance.
- Fix the Professional Asset Management Deficit. The OECD ranks New Zealand dead last out of 33 countries for professionalisation and accountability in asset management. Opportunity will require all public entities managing assets over a certain threshold to staff their leadership teams with certified asset management practitioners.
- Require demand management first. All bodies responsible for infrastructure must formally consider demand management — load-spreading, time-of-use charging, optimised utilisation of existing assets — before committing to new capital spending.
- National project quality standards. Te Waihanga will mandate and supervise national standards across the public sector for project planning, procurement, implementation and contracting.

3. Finance Infrastructure Properly

New Zealand cannot, and must not, spend desperately to buy its way out of its infrastructure deficit. But it can borrow carefully, price infrastructure honestly, and capture some of the value that public investment creates.

New Zealand's balance sheet is strong by international standards: New Zealand's government debt at around 50% is about half of the average of the other OECD countries. Opportunity - with the support of many economists - proposes that New Zealand can safely issue up to an additional 15% of GDP in special infrastructure debt (approximately $60 billion at current levels), built up over 5–10 years. The interest

cost would be between $2.5 and $3.5 billion annually — less than 1% of GDP and less than 2.5% of government expenditure. We currently spend 5–6% of GDP on infrastructure; this will lift us to 6–7%.

Opportunity will invest this $60 billion into New Zealand's infrastructure future in the following ways:

Element	Total Capital Funding
The **New Zealand Infrastructure Fund** will subsume and extend the roles of the Local Government Funding Agency (current lending book approaching $30 billion) and NIFFCo (current balance sheet around $4.7 billion). It will: • Issue special purpose bonds where user-pay revenues can service the debt — for water, energy, tolled roads and similar projects. • Be authorised to issue additional bonds up to 7% of GDP (approximately $32 billion at 2026 values), built up over 5–10 years. • Borrow for general purposes to fund public infrastructure where costs cannot be directly recovered. • Continue and expand LGFA's lending to councils and Council Controlled Organisations.	$32 billion
The **Local Government Regeneration Fund** will address local government's maintenance backlog, including climate-related infrastructure needs. It will: • Be capped at 3.5% of GDP (approximately $15 billion at 2026 values), built up over approximately five years. • Provide grants as well as loans to councils that submit projects meeting standards set by Te Waihanga and demonstrate adequate financial, social and environmental returns.	$15 billion
The **Climate Resilience Fund** will invest in nature-based solutions to reduce emissions and make communities more resilient to the effects of climate change. See our Climate Action policy for more detail.	$5 billion
National Land Transport Fund Capital injections ringfenced to boost investments in rail, active transport and public transport.	$3 billion
Full-scale Ratepayer Assistance Scheme Implement the full Local Government New Zealand Ratepayer Assistance Scheme, covering rates deferrals and development contributions, in addition to the solar upgrades referenced in our Abundant Energy policy. The business case for the RAS estimates this as the total borrowing across the three elements of the scheme: solar installation, rates deferral and developer credit.	$5.3 billion
Crown Build Guarantee & Housing Fund See our Housing Policy for more detail.	$0.5 billion

Expand Funding Tools For Local Government

For decades, central government has captured the tax windfall of regional economic and population growth while passing down unfunded mandates to councils. Meanwhile, local authorities have been forced to rely almost entirely on property rates to service 20th-century infrastructure under 21st-century demand.

Arbitrary, central government-imposed rate caps are a blunt instrument. They fail to address the core problem: New Zealand's local government funding model is fundamentally broken.

To begin giving local government the tools it needs to operate effectively, Opportunity will:

- Implement the full Local Government New Zealand Ratepayer Assistance Scheme, covering rates deferrals and development contributions, in addition to the solar upgrades referenced in our Abundant Energy policy.
- Return GST collected on high performance new builds. See our Affordable Housing policy for more detail.
- Enable - and provide implementation support for- local government use of tools such as congestion charging, tolling, value capture levies, accommodation levies and user-charges for services.
- End unfunded mandates imposed on local government.

Expanding the funding toolbox must go hand-in-hand with higher standards of fiscal discipline and operational transparency. Central government must support councils in building commercial capability while holding underperforming authorities accountable. Opportunity supports:

- Benchmarking & Value-for-Money Audits for core service costs to identify inefficiencies.
- Encouraging and supporting councils over time to pool back-office operations, procurement, and IT systems regionally to reduce overhead costs and eliminate duplicated administrative bureaucracy.
- Repealing the arbitrary 30% cap on the Uniform Annual General Charge (UAGC) letting councils choose the most equitable blend of flat charges versus value-based rates for their specific community demographic.
- Technical and commercial support to smaller or rural councils undertaking complex procurement or financing.

FAQs

How much will this cost?
The primary costs associated with this policy are capital rather than operational. We propose a total of approximately $60 billion of additional borrowing over a ten year period to support investment in infrastructure as outlined in the main policy document.

In addition, operating expenses of approximately $167 million annually are made up of the following element:

Element	Annual Cost	Notes
Enhanced Te Waihanga role funding	$27 million	We estimate total core operating costs for an expanded agency to be $80 million, based on the budget for the UK's new combined infrastructure agency. This would be made up of existing core funding for Te Waihanga, National Infrastructure Funding and Financing and Crown Infrastructure Delivery of approximately $53 million. This figure represents the difference.
Free public transport	$150 million (net of savings)	Total Passenger Fare Revenue is currently approximately $300 million per year. Removing the government's own estimated 14 year costs for a national ticketing system saves $80m - $90m per year. It also saves $30-$40m per year through not having cash/banking management and back office administration. A further $30-$40m is saved through 20% faster boarding time, allowing the existing fleet to run more efficiently. Our costing represents the residual cost that would need to be covered through core Crown spending.

You're proposing up to $60 billion in new infrastructure debt. Isn't New Zealand already borrowing too much?
No. New Zealand's gross public debt sits at around 51% of GDP (less than half the OECD average of around 112%) and our AA to AAA credit rating is among the highest in the world. The country's fiscal position is structurally strong.

The question is not whether New Zealand can borrow, but whether it is borrowing for the right things. Infrastructure debt is self-justifying when it builds assets that last 50–100 years and are essential to improved economic productivity. The alternative - deferring maintenance and new builds - is also a form of borrowing, but one that falls invisibly on future generations as degraded assets, higher remediation costs, and reduced productive capacity. Opportunity's proposed envelope, built up over 5–10 years, lifts infrastructure spending from roughly 5–6% of GDP to 6–7%: a measured

increase, not a binge. Budget 2026's own Fiscal Strategy Report acknowledged that well-directed capital investment can be growth-enhancing even under fiscal constraint.

Could a large infrastructure programme cause construction cost inflation, as happened after the Christchurch earthquake?
This is the most legitimate technical risk in the policy, and it is explicitly acknowledged. The Christchurch rebuild did produce localised construction cost inflation — but it was a sudden, unplanned demand spike concentrated in one region. Opportunity's programme is designed to be the opposite: a deliberately paced, nationally coordinated build-up over 5–10 years, with Te Waihanga managing the pipeline in active dialogue with the construction industry to level workloads.

Rider Levett Bucknall's 2025 infrastructure outlook found that cost pressures in New Zealand had eased as the post-COVID pipeline normalised, and that a steady, predictable programme is precisely what enables the sector to invest in people and plant without boom-bust spikes. The policy's 60%-to-maintenance mandate also means much of the additional spend goes to repair and renewal work — lower complexity, increased predictability, more evenly distributed, and less inflation-prone than large greenfield builds.

What does giving Te Waihanga powers over councils mean for local democracy?
Te Waihanga would not be making decisions for councils — it would be holding them to the asset management standards that Parliament, through legislation, has already set. The comparison is to the Auditor-General: an independent officer of Parliament who can issue adverse findings about elected bodies without replacing them. Local democracy is not well served by elected mayors running down water pipes and roads until they fail catastrophically.

The 2024 Treasury Productivity Commission report on local government funding found structural asset management failures across the sector, driven partly by the political difficulty of funding maintenance through rates. Public reprimands and formal reviews are escalating accountability tools — the policy explicitly reserves direct intervention for extreme cases, and gives councils extensive support (the $6,000-per-head Regeneration Fund, technical assistance, and GST rebates) before enforcement is triggered.

The $275 billion pipeline is already unaffordable. Does this plan add more infrastructure to that unaffordable list?
No. The point of the policy is precisely to not fund that pipeline as stated, as it is explicitly unaffordable. The enhanced Te Waihanga's first job is ruthless prioritisation: hospitals before roads, maintenance before new builds, evidence before politics. The $60 billion debt envelope and the two new funds are not a blank cheque to build everything on the list — they are a ring-fenced fiscal envelope within which Te Waihanga sequences and approves spending.

Projects that do not pass independent readiness review, cost-benefit analysis under the CBAx framework, or the 60%-maintenance threshold simply do not proceed. The National Infrastructure Plan itself called for exactly this kind of sequenced,

funded pipeline rather than an unfunded wish list — Opportunity is implementing that recommendation, not circumventing it.

What is your position on Public-Private Partnerships?
The evidence from New Zealand and comparable countries is that PPPs typically do end up on the Crown balance sheet — either formally (when accounting standards require it) or in practice (when contracts go wrong and governments bail out projects to avoid service failure).

A 2023 Treasury review of New Zealand PPP experience found higher financing costs than direct Crown borrowing in most cases, with risk transfer to the private sector proving illusory in several contracts. The New Zealand Infrastructure Fund can borrow at Crown rates — significantly cheaper than private finance — and direct those savings into more infrastructure rather than financier returns. This does not preclude all private involvement: design-and-build contracts, operations and maintenance concessions, and service contracts are all tools Opportunity supports. The objection is specifically to the financing model, not to private sector participation in delivery.

How does the 60% maintenance mandate interact with genuinely needed new infrastructure, like new hospitals and schools?
The 60% target applies to the overall public infrastructure portfolio, not as a rigid cap on any individual agency's spending. A health board with genuinely new population growth in its catchment can still build a new hospital — but the system as a whole must be rebalancing toward maintenance and renewal. In practice, the mandate forces a discipline that current incentives do not: politicians find it far easier to cut a ribbon on a new building than to fund a pipe replacement programme that no one photographs.



Te Waihanga's standards (such as NAMS+/ISO 55000) require each entity to demonstrate its maintenance-to-investment ratio is appropriate for its asset base and risk profile, not to meet an arbitrary number. Entities genuinely under-built relative to population needs — like fast-growing urban areas — will be assessed differently to entities sitting on degraded legacy assets. The point is to prevent the system defaulting to new builds as the path of least political resistance when maintenance or renewal is what is actually needed.

Won't time-of-use charging and road tolling impact lower-income New Zealanders hardest?
This is a genuine distributional concern that the policy takes seriously. Two design features address it. First, time-of-use charging is specifically about shifting travel to off-peak times, not simply taxing all road use — the same trip at 10am costs less than at 8am, giving people with flexible schedules a genuine option. Second, revenues generated through user-pays mechanisms flow back into the transport network (servicing infrastructure debt, funding public transport) rather than general taxation — so the people paying the charges benefit directly from the improvements they fund.

The Government's own GPS 2024 accepted the principle that land transport should be funded more directly by users rather than general taxpayers. Opportunity's approach also links time-of-use reform to the broader public transport investment programme: charging only works equitably where alternatives exist, and Te Waihanga will be required to sequence charging reforms after credible public transport alternatives are in place.

Cross-party agreement sounds good in theory, but what stops a future government simply ignoring the 30-year plan, as has happened before?
Two design features make this structurally harder than previous planning commitments. First, major projects over $250 million that a new government wishes to cancel or reverse will require an enabling Bill with a full select committee process — the same mechanism by which the original commitment was made. This is not a veto, but it creates a genuine political cost and a public record: a government that scraps a hospital or cancels a rail project will have to do so through a visible parliamentary process, not a Budget footnote. Second, the public progress scorecard — published at 100 days, 12 months, and 3 years against the 30-year pipeline — creates an external accountability mechanism that does not depend on parliamentary goodwill.

No institutional design is fully politics-proof, but this is considerably more robust than the current arrangement, where a new government can simply rewrite the relevant Government Policy Statement in its first 100 days.

How does this link to your compulsory Kiwisaver policy?
As KiwiSaver 2.0 balances grow over the next decade, they will need suitable securities to invest in. Infrastructure bonds — owned by New Zealanders — keep cashflows domestic, reduce reliance on offshore debt markets, and provide citizens with a direct stake in the assets being built for their future.